

About the CNB	Monetary policy	Financial stability	Supervision, regulation	Banknotes and coins	Payments	Financial markets	Resolution	Statistics	Research
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Home > Monetary policy > Bank Board decisions

[Monetary policy objective](#)

[Bank Board decisions](#)

[Forecast](#)

[Monetary Policy Reports](#)

[Balance of Payments Reports](#)

[Bank Lending Survey](#)

[Euro adoption](#)

[Monetary policy explained](#)

[External review of the CNB's monetary policy analytical and modelling framework](#)

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BOARD DECISION | 7. 8. 2025

Statement of the Bank Board for the press conference following the monetary policy meeting

Decision

At its meeting today, the Bank Board kept interest rates unchanged. The two-week repo rate thus remains at 3.5%. All seven members voted in favour of this decision.

According to the Monetary Department's new forecast, inflation will be above 2% for the rest of this year. Core inflation will remain elevated over the next few quarters. The ongoing inflation pressures from the domestic economy currently preclude a further decrease in interest rates.

Inflation has been close to the 2% target since January 2024. However, tight monetary policy is still needed. The quantity of money in the economy is rising at a rate of 4.1%, but credit growth is gradually increasing. At the same time, households' demand continues to grow. Services inflation remains elevated. Rising property prices are also a risk to inflation. The momentum of core inflation currently remains elevated.

Today's decision aims to stabilise headline inflation close to the 2% inflation target in the long run. This requires growth in the quantity of money in the economy not to accelerate excessively and credit growth to remain moderate. By ensuring this, monetary policy will help keep inflation low.

At its meetings ahead, the Bank Board will base its decisions on an assessment of newly available data and their implications for the inflation outlook. Its considerations about the interest rate settings will depend mainly on an evaluation of the persistence of the low-inflation environment, koruna exchange rate developments, the effect of fiscal policy on the economy, an analysis of the tightness in the labour market, and changes in domestic and external demand. The Bank Board will also monitor the actions of key foreign central banks, geopolitical events and developments in trade relations between countries. It will also assess the transmission of previous interest rate cuts to lending activity, asset prices – above all property prices – and subsequently real economic activity and prices.

The Bank Board confirms its determination to continue its monetary policy in order to maintain inflation near the 2% target in the long term. At present, this still requires relatively tight monetary policy.

Economic developments

The Czech economy is gradually recovering. According to the CZSO's flash estimate, GDP rose by 0.2% quarter on quarter and by 2.4% year on year in 2025 Q2.

Growth is being driven mainly by household consumption. Unemployment remains low. Average wage growth stood at 6.7% year on year in 2025 Q1, remaining elevated from a historical perspective. It is also one of the reasons for the inertia in services inflation.

Outlook

According to the Monetary Department's forecast, inflation will be in the upper half of the tolerance band for the rest of this year. Inflation is thus forecasted to reach 2.6% on average this year and decrease to 2.3% next year.

According to the Monetary Department's forecast, Czech GDP will grow by 2.6% this year. It is forecasted to grow at the same pace next year and accelerate to 2.9% in 2027.

Risks and uncertainties

The Bank Board assessed the risks and uncertainties of the outlook for the fulfilment of the inflation target as inflationary overall. As regards domestic inflationary risks, the risk of inertia in services inflation, including imputed rent, and in food inflation persists. A potential acceleration of money creation in the economy stemming from a further stronger recovery in lending activity, especially on the property market, is also an inflationary risk. Potential additional growth in total public sector spending would lead to a risk of fiscal policy having an even greater inflationary effect. Continued rapid wage growth related to persistent tightness in the labour market is an additional inflationary risk. By contrast, inflation could be dampened by a stronger koruna exchange rate. The launch of the EU Emissions Trading System 2 (ETS 2) is a risk to inflation in 2027 and the subsequent years. Increasing barriers to international trade are a downside risk to global economic activity. However, the impact on inflation is not clear cut, especially in the longer term. The risk of markedly weaker German economic output is partly offset by the planned fiscal stimulus of the new German government. The development of the wars in Ukraine and the Middle East represents an uncertainty.

Statutory mandate

The Bank Board assures the public that the CNB's actions will be sufficient to maintain price stability in accordance with its statutory mandate. In addition, the Bank Board is ready to react appropriately to any materialisation of the risks of the outlook for the fulfilment of the inflation target.

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- » [IBAN – International Bank Account Number](#)
- » [CNB forecast](#)
- » [History of the discount rate](#)
- » [History of the Lombard rate](#)
- » [History of the repo rate](#)
- » [Central Credit Register](#)
- » [CNB's Schedule of Charges for Financial and Business Services](#)
- » [Average of borrowing interest rates pursuant to Article 117a of the Consumer Credit Act](#)

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- » [Services for clients](#)

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